Pricing Constructs That Support Profitable Business Process Services Revenue

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Initiatives: People

Assets, automation and AI have become critical facets of a successful business process services offering, disrupting traditional commercial constructs. Tech services leaders need to reimagine these commercial constructs with a move toward success-based models.

Overview

Key Findings

- In the 2024 Gartner Digital Business Services Approach Survey, over 67% of IT service providers reported using in-house assets in at least 30% of their portfolio. Despite this, traditional commercial constructs like time and materials along with fixed price remain the prevalent billing mechanisms for service contracts. These constructs, coupled with increasing demand for assets, place providers in a compromised position to recover investment and maintenance costs of assets, resulting in downward pressure on both revenue and margins.
- Buyers are increasingly expecting providers to put fees at risk. In the 2024 Gartner Digital Business Buying Drivers Survey, buyers report that approximately 33% of services engagements contained a fees-at-risk component in 2024. They expect this number to increase to 40% by 2027.

Recommendations

Tech services leaders seeking to enhance profitable growth in business process services should:

- Drive simplicity and predictability in commercial models by linking pricing to the volume of work performed utilizing usage-based strategies — either consumption-based or per-unit of work pricing.

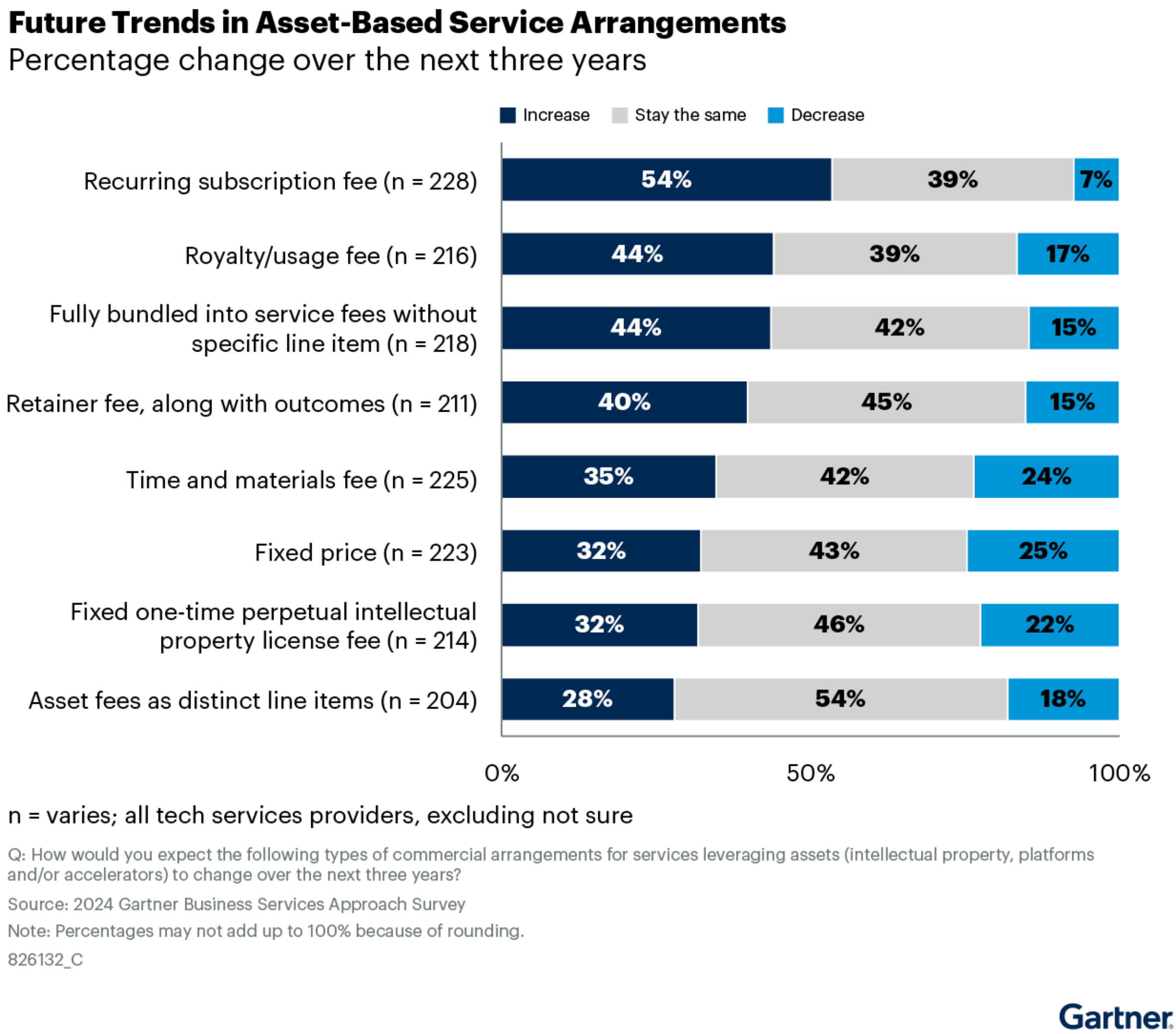
- Drive alignment and transparency with clients by demonstrating how service delivery attains key client business objectives (for example, revenue, cost reduction, customer retention, improvement of digital benchmarks). Implement success-based commercial models that monetize achieving these goals, creating mutual benefits for both parties.

Analysis

Introduction

Demand for automation is increasingly driving business process services (BPS) organizations to augment their offerings with assets and artificial intelligence (AI). The ongoing evolution of automation is enhancing the market competitiveness of organizations and improving the quality of service. However, it's also disrupting traditional commercial constructs employed in BPS contracts (as illustrated in Figure 1). Providers are now challenged to drive simplicity and predictability. They must introduce new commercial constructs for services that increasingly leverage assets like recurring subscription fees, usage fees and asset fees.

Figure 1: Future Trends in Asset-Based Service Arrangements



BPS providers are at a crossroad. Assets improve flexibility and configurability, foster differentiation, enable smarter decision making, ensure consistency service delivery, and create innovative methods to reduce total costs. However, in an environment dominated by traditional input-oriented commercial models (such as time and materials, hourly rates and fixed pricing, among others), these assets can disrupt existing revenue models. They introduce new costs, including initial investments, maintenance, ongoing investment expenses and product management costs. This shift results in talent and skills gaps as employees adapt to new ways of working. It also introduces scalability issues and exerts downward pressure on overall revenue and profitability. Including these costs in traditional hourly rates often creates confusion and complexity, while leading to the appearance of higher costs of service.

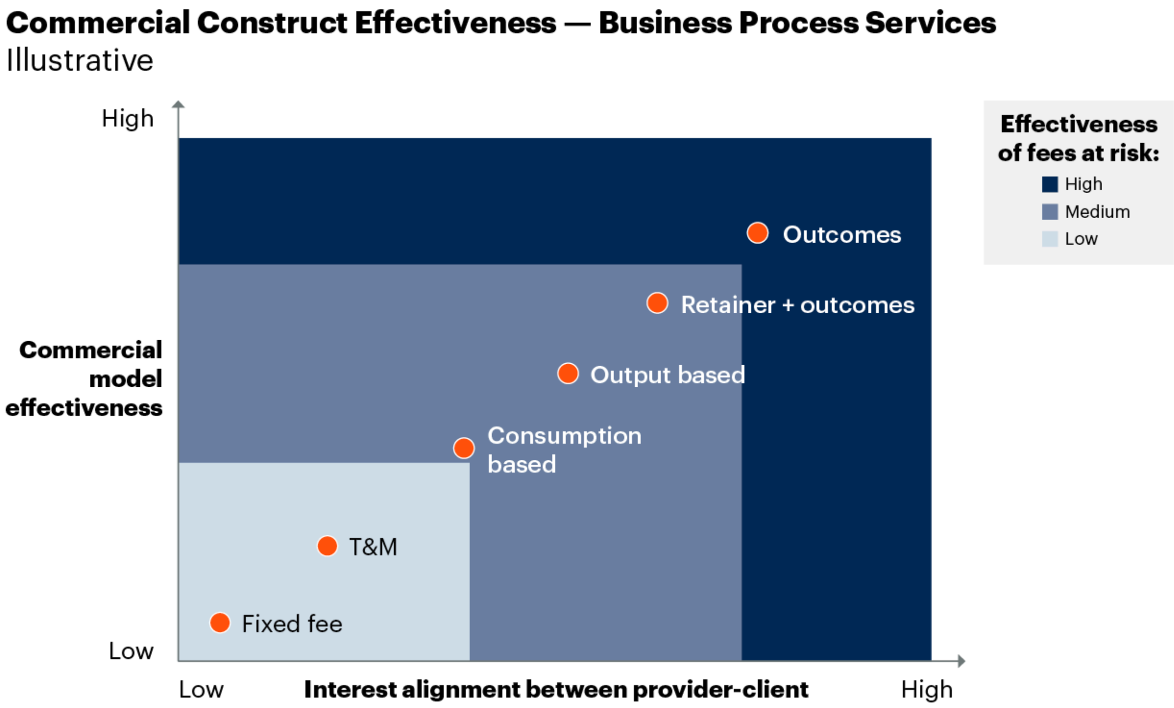
Usage-Based Pricing Drives Simplicity and Predictability

One option for improving simplicity and predictability inside pricing has been the idea of usage-based pricing constructs, including consumption-based and/or per-unit of work models (output-based pricing). While at first glance, these ideas may appear similar — the differences between the models often hinge on the perception of the client purchasing the services and the actual value they receive. In other words, "consumption" may be in the eye of the beholder.

IT-aligned clients will be more accustomed to consumption-oriented charges for things like bandwidth, storage capacity, compute hours, API calls, data volume and inference charges. Aligning pricing with these items will help IT-oriented clients more easily comprehend and process the costs associated with assets, platforms and AI solutions. This approach also facilitates more effective monetization of assets within service delivery. This perspective on consumption may not fully align with the outcome-based commercial model we recommend. However, it's critical for providers billing at this level to track and communicate progress against client business objectives. This approach lays the groundwork for more advanced commercial discussions later in the relationship, such as selling based on outcomes and pricing based on consumption.

Business-aligned clients will be more interested in charges around units of work processed (process outputs). Examples include completed customer interactions, invoices processed, fulfilled orders, leads captured or other business process outputs. To the degree the completion of work is tied to objectives and/or outcomes, billing for work products this way is a powerful way of aligning interests with clients and aligning the price of the service to the value of the work. This naturally extends into a more substantive discussion about fees at risk and paves the way for a more outcome-oriented dialogue (see Figure 2).

Figure 2: Commercial Construct Effectiveness — Business Process Services



Source: Gartner
T&M = time and materials
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Tech services leaders seeking to increase usage of consumption and output-based pricing should:

- Ensure measurement systems are in place to adequately quantify consumption of priced resources. This can be achieved by developing and deploying dashboards and reporting tools that will enable clients to monitor usage in real time.
- Establish internal training/education for business development and account teams so they understand the role of assets in delivery, how they work in combination with various commercial approaches, and how they impact financials for the services you provide.
- Educate clients on the different pricing models available for your services within the context of the continuum. As relationships evolve, routinely engage in open, transparent discussions about various constructs and their benefits to the client.

- Implement internal processes for continuous monitoring and fine-tuning of pricing models. Regularly review usage data and client feedback to optimize pricing structures, ensuring they remain competitive and in tune with market demands.

Create Upside Opportunities in Fees at Risk

Traditional BPS engagements and hourly rate commercial constructs have historically been governed by “risk-reward” schemes linked to performance metrics on scorecards. However, these metrics often lack direct connection to specific business results or outcomes.

Consequently, many “risk-reward” constructs function as inherent discounts on services, incentivizing providers to take unconventional measures to mitigate perceived risks. These measures typically elevate provider costs and in some certain instances, can also raise client costs.

Inherently, work is aligned to the attainment of client outcomes. Providers that deploy assets effectively have an opportunity to reimagine work, make it more effective and change business outcomes. The outcomes drive interest alignment with clients, enabling innovation, joint investment and new ways of monetizing services. To the extent the model becomes success-based, the interest alignment is furthered. Aligning with a select few key outcomes, despite inherent risks, creates potential benefits for both the provider and the client. It ensures that both parties focus on measuring essential business-related metrics. Success-based pricing at the individual unit of work, or in a retainer-plus-outcome construct, are effective here.

Tech services leaders seeking to increase their ability to leverage outcome constructs should:

- Orient the offering on the outcomes desired by your clients (such as customer loyalty/retention metrics, improved cash flow and enhanced on-time order performance). Align solution playbooks, incorporating assets, technology and labor, to achieve the desired outcomes.
- Remain flexible and orient commercials around completion of work and attainment of client outcomes.

- Invest jointly with clients to enable solutions that drive their outcomes, where appropriate. Leverage these joint investments to generate potential benefits by sharing in the gains linked to successful outcomes.
- Monitor results — and risks to results — routinely. Work in partnership with clients to course correct and implement mitigation steps where necessary.

Indicative Examples of Success-Based Pricing

Healthcare Claims Example

- **Scenario:** A provider leveraged automation and AI to implement a claims processing platform for clients.
- **Success metrics:** Claims processing time, first-pass accuracy percentage, total cost of processing claims.
- **Success-based pricing:** The provider was compensated per completed claim inside the automation; claims that fell to humans were not billed.
- **Alignment created:** The provider is incentivized to enhance containment in digital processing, thereby increasing their revenue and reducing the overall costs for both the provider and client, ultimately boosting profitability for both parties. The client is motivated to implement essential business improvements that facilitate higher levels of automation, leading to future cost savings.

Finance and Accounting Example

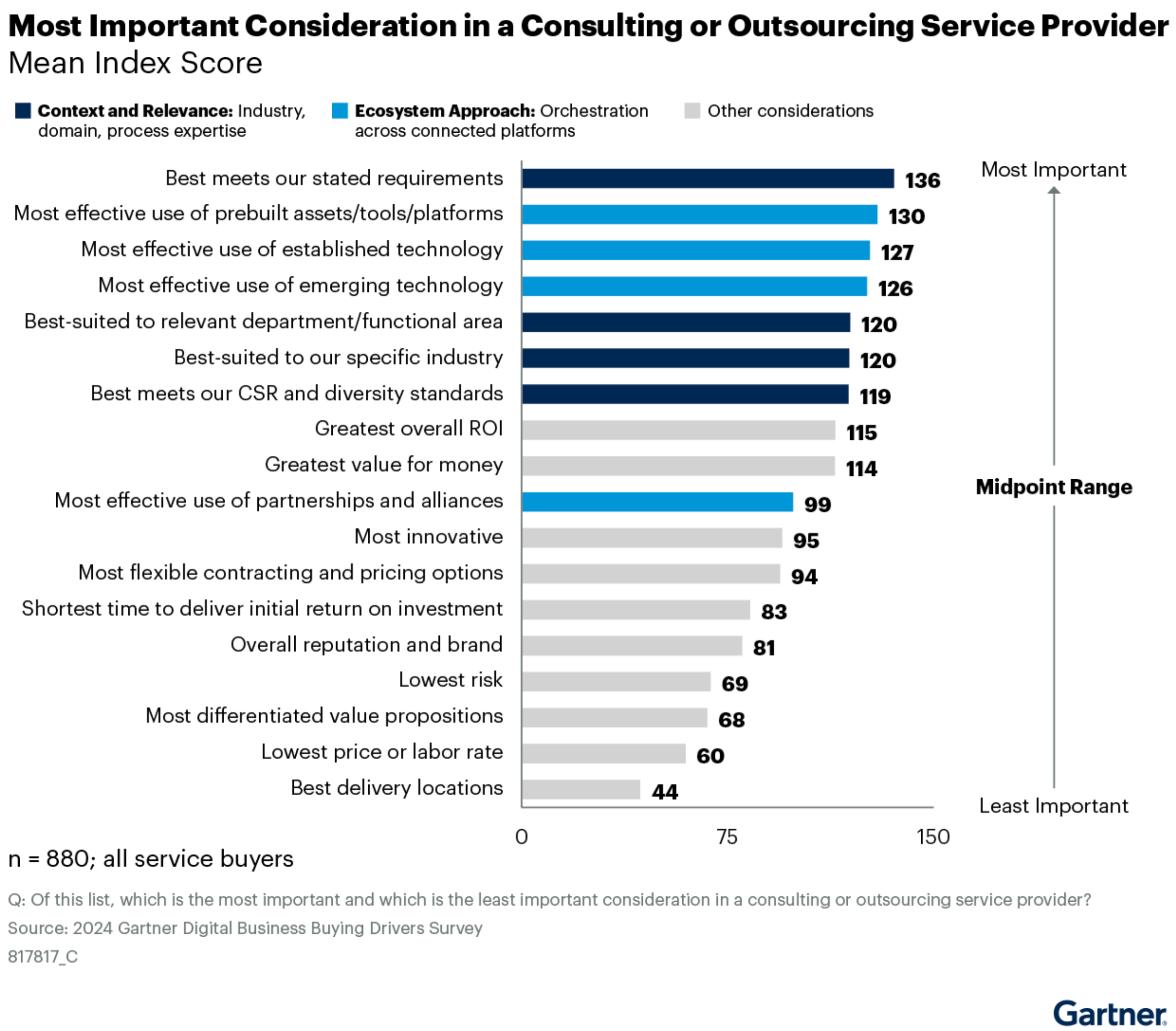
- **Scenario:** A company outsources its accounts receivable process to improve cash flow.
- **Success metrics:** Reduction in days sales outstanding (DSO) and increase in collection rates.
- **Success-based pricing:** The service provider charges a base fee for managing accounts receivable and earns additional compensation for reducing DSO below a specified threshold and achieving high collection rates. Accelerators in rates are applied where DSO and collection rates exceed specified thresholds.

Background and Context

Why Assets, Automation and AI Is Important in Business Process Services

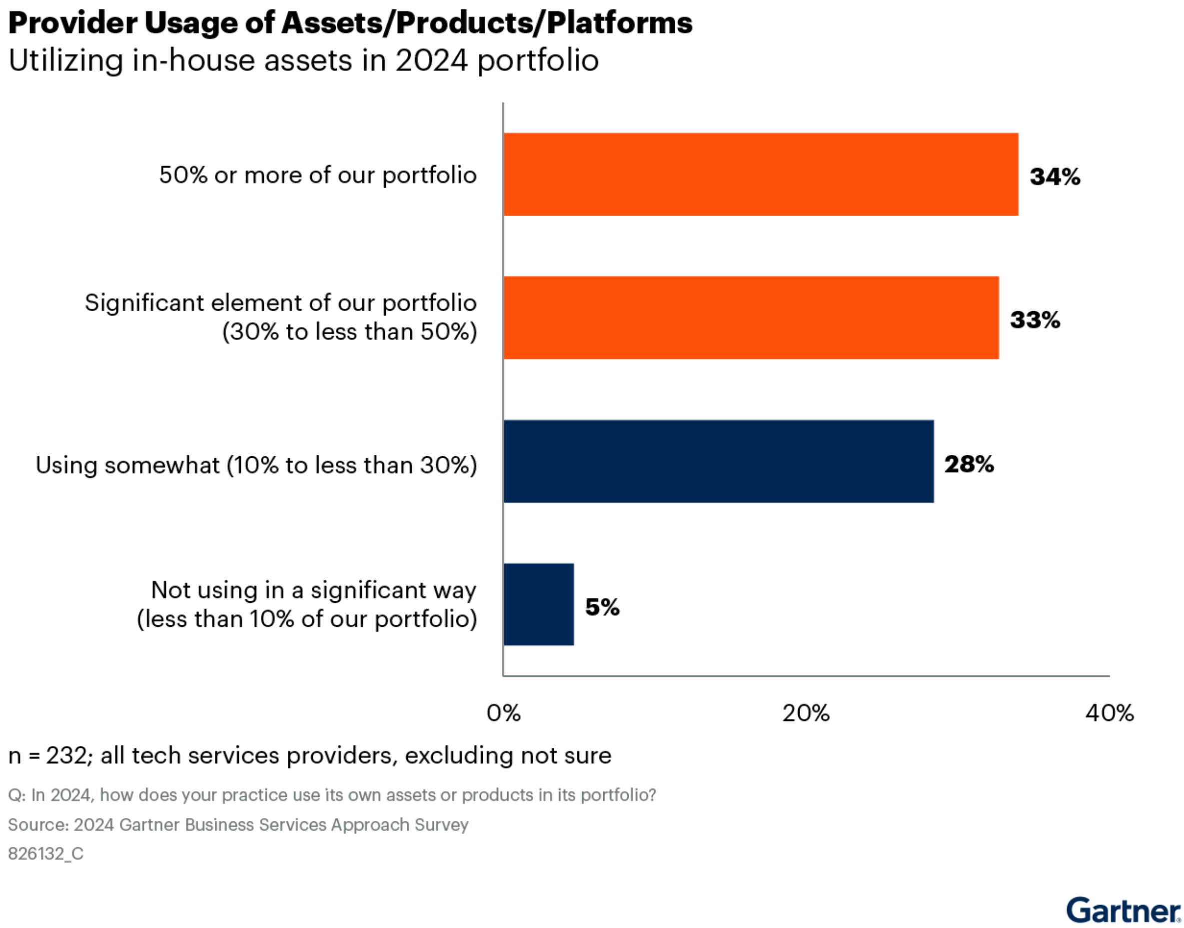
Buyers continue to choose providers who employ assets and technology: In Gartner's 2024 Digital Business Buying Drivers Survey, respondents indicated "Most effective use of prebuilt assets, tools and platforms" as the second highest consideration in choosing a consulting or outsourcing service provider (see Figure 3).

Figure 3: Most Important Consideration in a Consulting or Outsourcing Service Provider



Suppliers are actively responding to the increased demand: Approximately two-thirds of respondents in the 2024 Gartner Digital Business Services Approach Survey indicated that assets have become a "significant" part of their delivery platform — 30% or more of their delivery portfolio (see Figure 4). [1]

Figure 4: Provider Usage of Assets/Products/Platforms



Elements of an Effective Pricing Model

As indicated in How to Build an Effective Value-Based Tech Services Pricing Model, the challenges posed by outdated pricing models can be effectively mitigated by adopting newer models defined across the following three dimensions:

1. **Transparency:** Can a client derive the amount spent for multiple volume scenarios quickly and easily?

2. **Simplicity:** Can a client understand the various pricing components and the effects of adding and removing services?

3. **Predictability:** Can a client easily budget and know how to adjust for this offering?

Gartner's Data: Is Pricing Really Unimportant?

- Overall, pricing is less important than other factors in the selection of a provider, notably the use of assets and technology in the delivery of services.
- Nonetheless, effective pricing and commercial frameworks can significantly impact the evaluation of differences between offers during deal pursuits. Consider the following from How to Build an Effective Value-Based Tech Services Pricing Model:
  - The 2025 Gartner Pricing and Packaging Survey revealed that 57% of surveyed buyers identified a provider's pricing model as a primary differentiator. [2] Additionally, 44% of respondents indicated that packaging was a differentiator in their final purchase decision, even when other providers offered similar features.
  - In the same survey, 86% of buyers reported canceling or postponing a deal due to issues related to pricing or packaging. Among these respondents, 75% cited a lack of pricing transparency as the most prominent reason.

Conclusion

The evolving BPS landscape demands a shift from traditional commercial constructs to new and evolving pricing models that prioritize simplicity, predictability and alignment with client outcomes. By embracing usage-based and success-oriented pricing strategies, tech services leaders can improve their financial performance while fostering alignment and strengthening partnerships with clients.

Acronym Key and Glossary Terms

AI	artificial intelligence
API	application programming interface
B2B	business-to-business
BPS	business process services
DSO	days sales outstanding
GenAI	generative artificial intelligence
GTM	go-to-market
PLG	product-led growth
SaaS	software as a service
T&M	time and materials

Evidence

2024 Gartner Digital Business Buying Drivers Survey. This survey sought to understand the behavior of services buyers to support their digital business — including what they are buying; the use cases for technology, delivery model preferences; how far they have progressed on their digital transformation journey; and what lies ahead. The survey was conducted online from February 2024 through April 2024. In total, 880 respondents from organizations with annual revenue of at least $50 million or equivalent from Asia/Pacific (31%), North America (30%), Western Europe (27%), and Southern Europe (12%) participated. Industries represented included banking and securities; manufacturing; natural resources; communications, media and services; government; retail; wholesale trade; insurance; utilities; transportation; healthcare providers; and education. Qualified respondents were decision makers or decision influencers at the director level or higher, involved in the selection or evaluation of at least one of the following consulting or outsourcing services within the past two years — business consulting; technology consulting; application implementation; application-managed services; infrastructure implementation; infrastructure-managed services; infrastructure as a service; business process services; digital product engineering; and marketing, experience, content and image services.

Disclaimer: Results of this survey do not represent global findings or the market as a whole, but reflect the sentiments of the respondents and companies surveyed.

[1] **2024 Gartner Digital Business Services Approach Survey.** This survey sought to understand the leaders of service organizations as they address the digital business services opportunity and the pace at which they are evolving their business. Questions concerned what their buyers are buying, the use cases for technology, their delivery model preferences, how far they have progressed on their digital transformation journey and what lies ahead. The survey was conducted online from October 2024 through December 2024. In total, 234 respondents from service organizations with annual revenue of at least $250 million or equivalent participated. Respondents came from Asia/Pacific (13%), North America (47%), Western Europe (30%) and Southern Europe (10%). Industries represented included carriers; cloud services; technology and business services; software; advertising, social media and publishing services; digital product engineering services; and business services (consulting). Qualified respondents were decision makers or decision influencers at the senior manager level or higher, involved in the product- and/or offering-related decisions of at least one of the following consulting or outsourcing services within the past two years — business consulting; technology consulting; application implementation; application-managed services; infrastructure implementation; infrastructure-managed services; business process services; digital marketing and brand strategies services (marketing, experience, content and image services); and digital product engineering.

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[2] **2025 Gartner Pricing and Packaging Survey.** This survey sought to understand the pricing and packaging characteristics that influence customer (such as buyer or buying team) decisions to shortlist, buy, renew and expand the adoption of B2B software products. The survey investigated whether the level of trust in a tech provider's pricing is compounded by consumption and spend predictability, tech maturity and environment (such as generative artificial intelligence [GenAI] or APIs) or go-to-market (GTM) motion (such as product-led growth [PLG] and marketplaces). The survey was conducted online from October 2024 through December 2024 among 504 respondents from organizations with at least 50 employees from the U.S. (24%), U.K. (21%), Hong Kong (13%), Australia (10%), Canada (9%), Germany (8%), India (7%), France (5%) and Singapore (3%). Industries surveyed include education providers, energy, financial services, government, health payer, healthcare provider, insurance, manufacturing, media, natural resources, retail, services, technology, telecom, transportation, utilities and wholesale. Qualified respondents were required to be personally involved in software (including SaaS) purchases in the past three years.

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Recommended by the Author

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How to Differentiate in the Business Process Services Market

Leadership Vision for 2025: Tech Services Leaders